created apprehensions in Indian minds. However, the initial misunderstandings soon gave way to newer bonds between the two. Relations improved greatly with Russian President Boris Yeltsin's visit to India in January 1993. During this visit not only was the Rupee–Rouble exchange rate was resolved but also the 1971 Indo–Russian Treaty of Peace, Friendship and Cooperation was substituted by a new 14-clause Treaty of Friendship and Cooperation valid for 20 years. This Treaty stipulated that the two countries would refrain from taking any action that might affect the security interests of the other, pledging support to each other's territorial integrity and non-interference in internal affairs.

Alongside, the Rao government began pursuing a policy of improving relation with the United States. There persisted several hiccups in the Indo–US relation centring around Kashmir, India's nuclear and missile programmes, the US tilt towards Pakistan, attempts to modify Pressler amendment and supply of military equipment to Pakistan, differences on Non Proliferation Treaty (NPT), and nuclear free zone in South Asia. Despite such irritants there was a remarkable improvement in the Indo–US relations and the two countries held Joint Naval Exercise in May 1992. In 1995, following the visits by the US Defence and Commerce Secretaries the signing of several agreements took place. Prime Minister Narasimha Rao paid an official week-long visit to the United States in May 1994 which helped to strengthen ties and was followed by signing of several Memorandum of Understandings (MOUs).

India established full diplomatic ties with Israel during this period. India, on 29 January 1992 announced its decision to establish full diplomatic ties with Israel and opening of embassies at Tel Aviv and New Delhi "as soon as it is physically possible". India also supported the US-sponsored resolution, which sought to repudiate the 1975 UN Resolution equating Zionism with racism.

With China, India under Narasimha Rao continued her efforts to nurture good relations. This was followed by several high-level visits from both the countries. The Prime Minister of China visited India from 11 to 16 December 1991. The first Indian President to visit China was President R. Venkataraman. He made a six-day trip to China from 19 to 25 May 1992. Prime Minister Narasimha Rao also